

1 ENGROSSED SENATE
2 BILL NO. 1500

By: Jech and Bullard of the
Senate

3 and

4 Newton of the House
5

6 An Act relating to pharmacy benefits managers;
7 amending 59 O.S. 2021, Section 357, as last amended
8 by Section 2, Chapter 414, O.S.L. 2025 (59 O.S. Supp.
9 2025, Section 357), which relates to definitions;
10 defining terms; modifying definitions; updating
11 statutory references; updating statutory language;
12 prohibiting certain payment from being conditioned on
13 certain provisions; prohibiting certain provider from
14 bearing certain risks; requiring certain payor to
15 remit certain payment within certain time frame;
16 requiring certain payor to provide providers with
17 certain accounting; establishing certain requirements
18 for certain accounting; prohibiting certain payor
19 from certain actions; requiring certain payments made
20 outside of certain time frame to accrue interest;
21 authorizing the Attorney General to levy certain
22 fines; establishing certain contracts as void;
23 allowing the Attorney General to promulgate rules;
24 making certain claims applicable to certain
provisions; providing for codification; and providing
an effective date.

18 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

19 SECTION 1. AMENDATORY 59 O.S. 2021, Section 357, as last
20 amended by Section 2, Chapter 414, O.S.L. 2025 (59 O.S. Supp. 2025,
21 Section 357), is amended to read as follows:

22 Section 357. A. As used in Sections 357 through ~~360~~ 360.1 of
23 this title:
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1 1. "Clean claim" means a claim that is submitted in accordance
2 with all applicable billing requirements, contains all information
3 reasonably necessary for adjudication, and is not subject to an
4 unresolved eligibility or coverage dispute at the time of
5 submission;

6 2. "Claim" means a request for payment or reimbursement
7 submitted by a provider for prescription drugs, pharmacy-dispensed
8 medical supplies or devices, professional pharmacy services, or
9 manufacturer coupon, copay-assistance, discount card, or other
10 similar transactions;

11 3. "Covered entity" means a nonprofit hospital or medical
12 service organization, for-profit hospital or medical service
13 organization, insurer, health benefit plan, health maintenance
14 organization, health program administered by the state in the
15 capacity of providing health coverage, or an employer, labor union,
16 or other group of persons that provides health coverage to persons
17 in this state. This term does not include a health benefit plan
18 that provides coverage only for accidental injury, specified
19 disease, hospital indemnity, disability income, or other limited
20 benefit health insurance policies and contracts that do not include
21 prescription drug coverage;

22 ~~2.~~ 4. "Covered individual" means a member, participant,
23 enrollee, contract holder or policy holder or beneficiary of a
24 covered entity who is provided health coverage by the covered

1 entity. A covered individual includes any dependent or other person
2 provided health coverage through a policy, contract or plan for a
3 covered individual;

4 ~~3.~~ 5. "Department" means the Insurance Department;

5 ~~4.~~ 6. "Effective rate contracting" means any agreement or
6 arrangement between a pharmacy or contracting agent acting on behalf
7 of a pharmacy and a pharmacy benefits manager for pharmaceuticals
8 based on the effective rate of payment rather than a predetermined
9 fixed price or fixed discount percentage;

10 ~~5.~~ 7. "Maximum allowable cost", "MAC", or "MAC list" means the
11 list of drug products delineating the maximum per-unit reimbursement
12 for multiple-source prescription drugs, medical ~~product~~ products, or
13 ~~device~~ devices;

14 ~~6.~~ 8. "Multisource drug product reimbursement" (reimbursement)
15 means the total amount paid to a pharmacy inclusive of any reduction
16 in payment to the pharmacy, excluding prescription dispense fees and
17 professional fees;

18 ~~7.~~ 9. "Office" means the Office of the Attorney General;

19 ~~8.~~ 10. "Payor" means any person or entity that adjudicates
20 processes, administers, controls, or funds payment or reimbursement
21 of a pharmacy claim including, but not limited to:

22 a. pharmacy benefits managers,

23 b. health insurers,

24 c. health maintenance organizations,

- d. third-party administrators,
- e. self-funded or fully insured health benefit plans,
- f. government health programs,
- g. manufacturer coupon card, copay-assistance, or patient assistance programs,
- h. discount card, voucher, rebate, or similar program administrators, and
- i. any affiliate, agent, or contractor acting on behalf of an entity provided in this paragraph.

Payor does not include a covered individual;

11. "Pharmacy benefits management" means a service provided to covered entities to facilitate the provision of prescription drug benefits to covered individuals within the state, including negotiating pricing and other terms with drug manufacturers and providers. Pharmacy benefits management may include any or all of the following services:

- a. claims processing, retail network management and payment of claims to pharmacies for prescription drugs dispensed to covered individuals,
- b. clinical formulary development and management services, or
- c. rebate contracting and administration;

~~9.~~ 12. "Pharmacy benefits manager" or "PBM" means a person, business, or other entity that performs pharmacy benefits

1 management. The term shall include a person or entity acting on
2 behalf of a PBM in a contractual or employment relationship in the
3 performance of pharmacy benefits management for a managed care
4 company, nonprofit hospital, medical service organization, insurance
5 company, third-party payor, or a health program administered by an
6 agency or department of this state;

7 ~~10.~~ 13. "Plan sponsor" means the employers, insurance
8 companies, unions and health maintenance organizations or any other
9 entity responsible for establishing, maintaining, or administering a
10 health benefit plan on behalf of covered individuals; ~~and~~

11 ~~11.~~ 14. "Provider" means a pharmacy licensed by the State Board
12 of Pharmacy, or an agent or representative of a pharmacy, including,
13 but not limited to, the pharmacy's contracting agent, which
14 dispenses prescription drugs or devices to covered individuals; and

15 15. "Receipt" means the date on which a pharmacy claim is first
16 received by a payor or any agent of the payor, regardless of
17 internal routing or processing.

18 B. Nothing in the definition of pharmacy benefits management or
19 pharmacy benefits manager in the Patient's Right to Pharmacy Choice
20 Act, Pharmacy Audit Integrity Act, or Sections 357 through ~~360~~ 360.1
21 of this title shall deem ~~an~~:

22 1. An employer a "pharmacy benefits manager" pharmacy benefits
23 manager of its own self-funded health benefit plan, except, to the
24 extent permitted by applicable law, where the employer, without the

1 utilization of a third party and unrelated to the employer's own
2 pharmacy:

- 3 a. negotiates directly with drug manufacturers,
- 4 b. processes claims on behalf of its members, or
- 5 c. manages its own retail network of pharmacies; or

6 2. A covered entity or plan sponsor a pharmacy benefits manager
7 solely because such entity or sponsor retains ultimate authority to
8 establish, adopt, modify, or approve its own prescription drug
9 formulary, including utilization management criteria or negotiating
10 directly with drug manufacturers, while contracting with a pharmacy
11 benefits manager, third-party administrator, or other vendor to
12 administer, process, adjudicate, or pay pharmacy claims on the
13 entity's or sponsor's behalf, provided that:

- 14 a. the covered entity or plan sponsor retains final
15 decision-making authority over formulary design and
16 formulary changes including, but not limited to, the
17 power to reject any addition, removal, tiering change,
18 prior authorization requirement, step therapy
19 requirement, or other utilization management
20 requirement, and
- 21 b. the pharmacy benefits manager or other vendor acts in
22 an administrative capacity only with respect to claims
23 processing, adjudication, pharmacy network
24 administration, and payment functions, and does not

1 possess unilateral authority to change the formulary
2 other than implementing changes authorized by the
3 covered entity or plan sponsor.

4 SECTION 2. NEW LAW A new section of law to be codified
5 in the Oklahoma Statutes as Section 360.2 of Title 59, unless there
6 is created a duplication in numbering, reads as follows:

7 A. Payment to a provider for a claim shall not be conditioned
8 upon post-transaction reconciliation, manufacturer funding cycles,
9 or internal settlement between program sponsors, administrators, or
10 affiliates.

11 B. A provider shall not bear the risk of delayed or failed
12 funding between a manufacturer, administrator, or other third party
13 after a claim is adjudicated or accepted at the point of sale.

14 C. A payor shall remit full payment for a clean claim no later
15 than thirty (30) calendar days after the receipt of the clean claim.
16 Nothing in this subsection shall prohibit or discourage payment in a
17 shorter time period, including expedited payment of electronically
18 submitted claims.

19 D. A payor shall provide a provider with a clear, accurate, and
20 individualized accounting of all payments made to the provider for
21 claims. The accounting shall be provided in a readable, itemized
22 format, including electronic remittance advice or other electronic
23 format commonly used in the pharmacy industry, and shall not require
24 the provider to aggregate, infer, or reconstruct claim-level payment

1 information. Such accounting shall be provided with each payment or
2 remittance and shall be presented at a claim-by-claim level that
3 reasonably allows the provider to identify:

4 1. A unique claim identifier or prescription number;

5 2. The date of service or dispensing date;

6 3. The total amount paid for the claim by the payor;

7 4. The total amount paid for the claim by the covered
8 individual or plan member;

9 5. The total amount paid to the pharmacy for reimbursement;

10 6. Any amounts withheld, reduced, or adjusted, including the
11 reason for such adjustment;

12 7. Any fees, assessments, or offsets applied to the claim;

13 8. The identity of the payor or program responsible for the
14 payment, including identification of any manufacturer coupon, copay-
15 assistance, or discount card program involved;

16 9. The final payment date for the claim; and

17 10. Any interest paid on a claim pursuant to subsection F of
18 this section.

19 E. A payor shall not:

20 1. Bundle or net multiple claims in a manner that obscures
21 claim-level payment information;

22 2. Provide only summary, aggregate, or plan-level payment data
23 in lieu of individualized claim accounting;

1 3. Condition access to individualized claim accounting on
2 additional fees, portal subscriptions, or contractual waivers;

3 4. Delay payment of an adjudicated or accepted claim beyond the
4 time frames established pursuant to subsection C of this section;

5 5. Retroactively reprice, reverse, or withhold payment after
6 adjudication, except as otherwise expressly permitted by state law;

7 6. Condition or withhold payment based on audits conducted
8 after adjudication;

9 7. Extend payment timelines through contract, policy, program
10 terms, or operating rules inconsistent with subsection C of this
11 section; or

12 8. Shift payment risk to a provider due to internal disputes,
13 funding delays, or administrative issues of the payor or the payor's
14 affiliates.

15 F. Any payment not made within the time frame set forth in
16 subsection C of this section shall automatically accrue interest
17 beginning on the day after the expiration of such time frame. Such
18 interest shall accrue at a rate of ten percent (10%) per thirty (30)
19 days, calculated solely on the unpaid amount owed by the payor to
20 the provider. Interest assessed pursuant to this subsection shall
21 be non-waivable and shall be paid in addition to the underlying
22 claim amount.

23 G. A payor may be subject to any fines, penalties, and remedies
24 provided by state law. The Attorney General may levy a civil or

1 administrative fine not less than One Hundred Dollars (\$100.00) and
2 not more than Ten Thousand Dollars (\$10,000.00) per each violation
3 of this act.

4 H. Any contract, agreement, policy, or program term that
5 waives, limits, or extends the rights or timelines established
6 pursuant to this act shall be void and unenforceable.

7 I. The Attorney General may promulgate any rules necessary to
8 enforce the provisions of this act.

9 J. This section shall be applicable to all claims paid on or
10 after the effective date of this act regardless of the date a
11 contract or program was executed or the payment methodology or
12 reimbursement model used by the payor.

13 SECTION 3. This act shall become effective November 1, 2026.

14 Passed the Senate the 26th day of March, 2026.

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Presiding Officer of the Senate

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18 Passed the House of Representatives the ____ day of _____,
19 2026.

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Presiding Officer of the House
of Representatives

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